Key Business Insights

Key Insights:

1) Overall Churn Rate is 26.58%

Nearly 1 in 4 customers discontinue the service, indicating a moderate but significant retention challenge.

2) Month-to-Month Contracts Have the Highest Churn

Customers on month-to-month plans churn significantly more compared to one-year and two-year contract customers. Long-term contracts reduce churn risk.

3) Early Tenure Customers Are Most Vulnerable

Customers within the first 3 months show the highest churn rate (~60%). Churn decreases steadily as tenure increases.

4) Long-Term Customers Show Strong Loyalty

Customers with tenure greater than 2 years have the lowest churn rate, indicating strong retention once loyalty is established.

5) Lack of Tech Support Increases Churn

Customers without Tech Support services churn at a much higher rate compared to those who subscribe to tech support.

6) Electronic Check Users Have Higher Churn

Customers paying through electronic checks show higher churn compared to customers using automatic payment methods (credit card / bank transfer).

7) Revenue Concentration in Long-Term Contracts

Two-year contract customers contribute significantly to overall revenue and show lower churn, making them high-value and stable customers.

Business Recommendations

Business Recommendations:

1) Promote Long-Term Contracts

Offer discounts or bundled incentives to encourage customers to switch from month-to-month to annual or two-year contracts.

2) Strengthen First 90-Day Onboarding

Since most churn happens in the first 3 months, introduce:

- **Welcome campaigns**
- **Usage guidance**
- **Follow-up engagement emails**

3) Bundle Tech Support with Core Plans

Encourage customers to subscribe to Tech Support services through limited-time offers or bundled pricing.

4) Encourage Automatic Payments

Provide small incentives for switching to auto-pay (credit card/bank transfer) to reduce churn associated with manual payment methods.

5) Introduce Loyalty Programs

Reward customers completing 1 year of service with benefits such as discounts or service upgrades.

6) Target High-Risk Segments Proactively

Identify early-tenure month-to-month customers and engage them with retention campaigns before churn occurs.